TAX POLICY CENTER TARIFF MODELS

Modeling tariff impacts on households, businesses, and regional economies

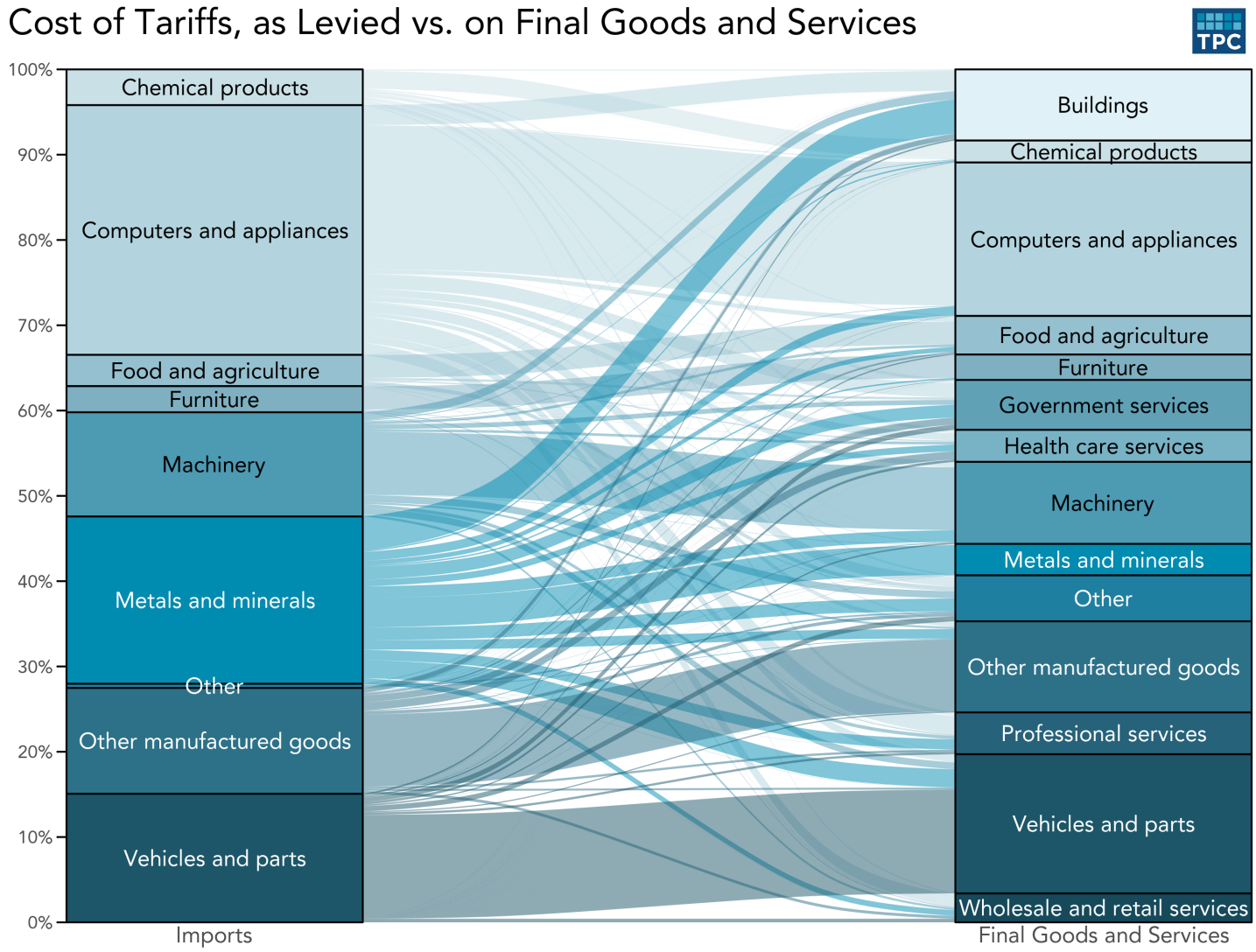
March 2026

The Tax Policy Center's tariff models are the most sophisticated models housed outside of a government agency. In addition to total tariff revenues, we estimate impacts on household incomes, businesses, and the broader economy. Our team is equipped to help state and local governments and stakeholders assess the impacts of tariffs on household incomes (nationally and by county, metropolitan statistical area, and state), regional economies (employment and output), and specific industries.

HOW OUR MODEL COMPARES

TPC's tariff models have several unique capabilities:

- **Detailed tariff rates** — Computes detailed tariff rates on each product from each country, by the day.
- **Supply chain tracing** — Traces tariffs from intermediate imports, such as steel, to US-produced goods like automobiles and buildings.
- **Household-level impact** — Models the impact of tariffs, and any remedial policies, on families across income and demographic spectrums, using hundreds of thousands of tax records.



Source: TPC Tariff Supply Chain Model v2.1 and Tariff Rules Engine v1.4

WHAT WE CAN PRODUCE FOR STATES AND CITIES

TPC can produce tariff impact estimates tailored to your state, county, or metropolitan statistical area.

- **Industry-level analysis** — Measure tariff impact across industries; estimate changes in output, employment, earnings, and value-added driven by tariffs on imported inputs.
- **Government cost impact** — Quantify how tariffs raise procurement costs for state governments, including construction materials, vehicles, and equipment.

WHAT WE HAVE FOUND

- We estimate that under current tariffs, including Section 122, more than 6 percent of tariff costs fall on state and local government expenditures and investment.
- Tariffs make construction more expensive, raising construction costs by one percent.
- Automobiles purchased by consumers are 5.6 percent more expensive due to current tariffs.
- In terms of distribution, tariffs behave like a flat tax, adding one percentage point to tax rates regardless of income.

HOW OUR MODEL WORKS

Tariff Rules Engine

Determines the tariff rate on each import, which requires sophisticated modeling because of complex exemptions and ever-changing policies.

Tariff Revenue Model

Estimates how much buyers will reduce their demand for imports, which affects the amount of tariffs paid.

Supply Chain Model

Determines which industries end up paying these tariffs based on input-output data on what inputs each industry uses.

Microsimulation Model

Analyzes impact at the household level, using detailed consumption and income data based on more than 200,000 tax records.

Please contact Robert McClelland (rmcclelland@urban.org) and John Wong (jwong@urban.org) with inquiries about TPC's tariff models.

TPC Tariff Tracker

TPC's Work on State and Local Finance